

Vaquite Industries, Inc. AUDIT PLANNING INITIAL ENGAGEMENT AND OPENING BALANCES MEMO	WORKPAPER REF. PL-IEAO PREPARED BY: _____ DATE: _____ REVIEWED BY: _____ DATE: _____
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ENGAGEMENT SCENARIO	Initial Unaudited Opening
ENGAGEMENT TYPE	Initial
PRIOR PERIOD STATUS	Unaudited
PREDECESSOR EXISTS	No
PREDECESSOR ACCESS	Not Applicable
ACCOUNTING POLICIES	Consistent

This memo records the planned response to opening balances. Evidence availability does not mean the procedures have been performed; execution and conclusions belong in the audit documentation.

MATERIAL OR HIGH-RISK OPENING AREAS

Opening procedure 1 | Accounts receivable

OPENING BALANCE	373996.95
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Assertions: existence, valuation, rights
Evidence route: current auditor alternative procedures
Planned procedure: Test subsequent receipts and source invoices and recalculate the opening aging and allowance
Evidence available: Accounts receivable aging, Customer invoice, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 2 | Accumulated depreciation

OPENING BALANCE	482174.46
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Assertions: existence, completeness, valuation
Evidence route: current auditor alternative procedures
Planned procedure: Inspect source support and reconcile the opening balance to subsequent activity
Evidence available: Opening account balance, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 3 | Allowance for credit losses

OPENING BALANCE	34342.32
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Assertions: existence, completeness, valuation
Evidence route: current auditor alternative procedures
Planned procedure: Inspect source support and reconcile the opening balance to subsequent activity

Evidence available: Opening account balance, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 4 | Cash

OPENING BALANCE	460321.38
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Assertions: existence, rights, completeness

Evidence route: current auditor alternative procedures

Planned procedure: Inspect opening bank statements, test subsequent clearing, and confirm accounts when necessary

Evidence available: Bank account, Bank statement month, Prior period account balance, Prior period bank balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 5 | Debt

OPENING BALANCE	1131826.06
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Assertions: completeness, rights, classification

Evidence route: current auditor alternative procedures

Planned procedure: Confirm lenders, inspect agreements and subsequent payments, and recompute amortization and classification

Evidence available: Debt instrument, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 6 | Equity

OPENING BALANCE	437970.70
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Assertions: rights, classification, completeness

Evidence route: current auditor alternative procedures

Planned procedure: Inspect governing documents and minutes and recompute the prior close into opening equity

Evidence available: Fiscal close adjustment, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 7 | Fixed assets

OPENING BALANCE	1173090.00
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Assertions: existence, rights, valuation

Evidence route: current auditor alternative procedures

Planned procedure: Inspect title and invoices, inspect selected assets, and recalculate accumulated depreciation

Evidence available: Fixed asset, Fixed asset depreciation, Fixed asset rollforward, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 8 | Inventory

OPENING BALANCE	54949.05
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Assertions: existence, valuation, cutoff

Evidence route: current auditor alternative procedures

Planned procedure: Observe current inventory and roll back to opening, test cutoff and purchases, and reconcile production and margin

Evidence available: Goods receipt, Inventory item, Inventory rollforward, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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Opening procedure 9 | Revenue

OPENING BALANCE	0.00
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Assertions: existence, completeness, valuation

Evidence route: current auditor alternative procedures

Planned procedure: Inspect source support and reconcile the opening balance to subsequent activity

Evidence available: Opening account balance, Prior period account balance

EXECUTION CONCLUSION	Pending Execution
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No opening-balance evidence limitation is identified at planning. Reporting impact remains subject to execution results.